

Atchison

March 2025



Rajomon

Review of Investment Objectives & Asset Allocation

A person wearing a headlamp stands next to a bicycle in a snowy, mountainous landscape. The person's headlamp beam illuminates the snow. In the background, the aurora borealis (Northern Lights) displays vibrant green and yellow patterns across a dark, starry sky.

Illuminating
the way forward

Table of Content

1	Executive Summary	3
2	Introduction	7
3	Review of Investment Strategies	8
3.1	Scenario Analysis Assumptions	8
3.2	The Most Volatile and the Least Volatile Portfolios	8
3.3	Actual Allocation Analysis	8
3.4	Benchmarks	10
3.5	Analysis of Strategy: Growth Fund	11
3.6	Analysis of Strategy: Growth Fund – Income Returns	15
4	Stress Testing	16
4.1	Scenario Stress Testing	16
4.2	Environmental Stress Testing	17
4.3	Liquidity Stress Testing	17
5	Appendix A – Assumptions	18
5.1	Analysis of Asset Classes	18
6	Appendix B – Scenario Stress Testing	20
6.1	Background	20
6.2	Investment Option	20
6.3	Portfolio Diversification	20
6.4	Risk Factors	21
6.5	Methodology	24
6.6	Historical Analysis – Results	25
6.7	Forecast Analysis – Results	26
6.8	Trigger levels	27
7	Appendix C - Liquidity Stress Testing	27
7.1	Liquidity Profile	28
7.2	Historical Stressed Liquidity Condition	31
7.3	Liquidity Risk Management	32
8	Appendix D – Manager Structure	33

1 Executive Summary

The Trustees of Rajomon Growth Fund ARSN 664 946 801 ("Rajomon"/"Fund"), consistent with the obligation to act in the best interests of beneficiaries, is required to implement a sound investment governance framework which focuses on managing relevant risks and returns of the investment strategy. The responsible entity for the Fund and issuer of this PDS is Vasco Trustees Limited (ACN 138 715 009, AFSL 344 486).

The Responsible Entity is not authorised under the Banking Act and is not supervised by the Australian Prudential Regulation Authority (APRA), and investments in the Fund are not covered by the deposit or protection provisions available to depositors that make a deposit with an Australian authorised deposit-taking institution (ADI).

The Asset Consultant has been requested to review the strategic asset allocation (SAA) to provide the Trustee with an understanding of the expected return, time horizon, volatility, risk objective, expected behaviour under stressed scenarios, and expected liquidity.

Rajomon will offer the choice of the following diversified investment options. Refer to Table 1 below.

Table 1: Investment Options

Investment Strategy	Growth/Defensive Allocations
Rajomon Growth Fund	85.0% Growth assets/15.0% Defensive assets

The scope of this review has been conducted and summarised in Table 2 below:

Table 2: The scope of this review

Investment Strategy	SAA & AAA Review	SAA Ranges	Investment Objective	Standard Risk Measure	Scenario Stress Testing	ESG Stress Testing	Liquidity Stress Testing
Rajomon Growth Fund	✓	✓	✓	✓	✓	✓	✓

More specially, this review encompasses:

Review of Strategic Asset Allocation, Investment Objectives and Standard Risk Measures

SAA's and investment objectives have been analysed on a historical and forecast basis to ascertain whether the existing SAA, asset allocation ranges, investment objectives and standard risk measure (SRM) for the investment options remain current and whether the SAA has a material detrimental consequence on member outcomes.

Note that there is an inconsistency between the Strategic Asset Allocations (SAAs) and investment ranges presented in the Product Disclosure Statement (PDS as of August 2023) and the Investment Policy Statement (IPS as of October 2024). For the purposes of this report, the most recent SAAs as outlined in the IPS have been used for analysis, while the investment ranges have been sourced from the PDS.

Two asset allocations have been examined, incorporating adjustments related to the Direct Property (DP) holdings—specifically, the Rajomon Medical Centre assets.

Rajomon Growth Fund

The following table provides information of Rajomon Growth Fund Investment Strategy on the investment objective, SAA, asset allocation ranges, and SRM with the Asset Consultants recommendation based on this review.

Table 3: Current and recommended asset allocation of Rajomon Growth Fund

Strategic Asset Allocation (%)	Current		Recommended	
Growth/Defensive Allocation (%)	90.0/10.0	100	90.0/10.0	100

Asset Class	Current SAA(%)	Ranges(%)	Recommended SAA(%)	Ranges(%)
Australian Equities	27.0	20.0-40.0	27.0	20.0-40.0
International Equities	27.0	20.0-40.0	27.0	20.0-40.0
Listed Property	20.0	0.0-30.0	20.0	0.0-30.0
Alternatives	10.0	7.0-15.0	10.0	7.0-15.0
Credit	6.0	0.0-15.0	6.0	0.0-15.0
Fixed Income Securities	7.0	0.0-15.0	7.0	0.0-15.0
Cash	3.0	0.0-50.0	3.0	0.0-50.0
Investment Objective	CPI + 3.5% pa over rolling 10-year periods		CPI + 3.5% pa over rolling 10-year periods	
Standard Risk Measure	High		High	

Conclusion

- Maintain the current Strategic Asset Allocation
- Maintain the current investment objective of CPI + 3.5% pa over rolling 10-year periods
- Maintain the current SRM of High

Recommendation

- The above tabled recommendations to be approved
- It is also recommended that a review of SAA, investment objectives, asset class ranges and SRM be conducted on an annual basis

Rajomon Growth Fund with DP

The following table provides information of Rajomon Growth Fund with DP Investment Strategy on the investment objective, SAA, asset allocation ranges, and SRM with the Asset Consultants recommendation based on this review.

Table 4: Current and recommended asset allocation of Rajomon Growth Fund with DP

Strategic Asset Allocation (%)	Current		Recommended	
Growth/Defensive Allocation (%)	90.0/10.0	100	90.0/10.0	100

Asset Class	Current SAA(%)	Ranges(%)	Recommended SAA(%)	Ranges(%)
Australian Equities	27.0	20.0-40.0	27.0	20.0-40.0
International Equities	27.0	20.0-40.0	27.0	20.0-40.0
Cash	3.0	0.0-50.0	3.0	0.0-50.0
Rajomon Medical Centre Assets	10.0	0.0-20.0	10.0	0.0-20.0
Alternatives	10.0	7.0-15.0	10.0	7.0-15.0
Listed Property	10.0	0.0-30.0	10.0	0.0-30.0
Credit	6.0	0.0-15.0	6.0	0.0-15.0
Fixed Income Securities	7.0	0.0-15.0	7.0	0.0-15.0
Investment Objective	CPI + 3.5% pa over rolling 10-year periods		CPI + 3.5% pa over rolling 10-year periods	
Standard Risk Measure	High		High	

Conclusion

- Maintain the current Strategic Asset Allocation
- Maintain the current investment objective of CPI + 3.5% pa over rolling 10-year periods
- Maintain the current SRM of High

Recommendation

- The above tabled recommendations to be approved
- It is also recommended that a review of SAA, investment objectives, asset class ranges and SRM be conducted on an annual basis

Conducting Scenario Stress Testing

Stress testing scenarios have been performed on Rajomon strategies, factoring investment returns, SAA, and risk factors that have the potential to influence major asset classes and therefore have an impact on the investment performance of the investment strategy.

Conclusion

- A probability of greater than 68% is sought for an investment objective to be considered adequate. Rajomon strategies would have achieved its investment objective more than 50% of the time.
- The recommended risk disclosures for all multi-asset investment options remain suitable
- The investment option ranges have been stress tested by the addition of the most volatile portfolio (P1) and the least volatile portfolio (P2) for each investment option
- The AAA of investment strategies are in accordance with SAA and align with the long-term investment strategy and objectives
- Certain factors might have detrimental consequences on portfolio performance in the event of a 2 standard deviation shock.

Recommendation

As a result of this review, the trigger level has been derived as a pre-emptive flag to be monitored as part of the ongoing supervision of the investment strategy included in Appendix B.

- On a quarterly basis, the performance of the investment options is to be monitored against their trigger levels to ensure that the options maintain at least a 50% probability to achieve their respective investment objectives.
- It is recommended that the factor triggers be monitored on a quarterly basis. In the event that the trigger levels are breached, the portfolios shall be rebalanced accordingly.

Conducting ESG Stress Testing

Given the unique nature and asset allocations, the approach taken by the asset consultant to managing environmental risk is to test the Rajomon multi-asset investment portfolios expected investment performance through various significant historical environmental disasters. Refer to Appendix B.

Conclusion

- None of the environment disasters was a significant contributor (either negative or positive) to portfolio returns, likely due to the slow impact of climate change on asset class returns and the ability to take corrective actions as and when detrimental disasters etc. occur

Recommendation

- ESG stress testing to be performed annually

Conducting Liquidity Stress Testing

The SIS Act requires an RSE licensee to consider the liquidity of investments when formulating and implementing an investment strategy, while also considering the expected cash flow requirements of the RSE.

The Rajomon Administrator reports contribution flows and member exits/outflows to the Trustee and investment manager to assist in the early identification of unusual patterns.

In managing liquidity risk the following matters may be included:

-
- Cash flow projections and past cash flow will be prepared on a regular basis to check the liquidity level needed
 - Whether there are appropriate early warning indicators of liquidity risk for the single investment of Rajomon, and
 - Reporting to the Research and Investment Team, Trustee Investment Committee and Board.

Conclusion

Consideration has been given to the liquidity of the underlying investments in normal and stressed market.

- Under normal market conditions, 6% of the allocation within the Rajomon Growth Fund is considered illiquid, increasing to 16% under stressed market conditions.
- In the case of the Rajomon Growth Fund with Direct Property, 16% of the allocation is classified as illiquid under normal market conditions, rising to 26% under stressed market conditions.

Recommendation

- It is recommended that cash flow requirements are closely monitored to ensure sufficient cash is available to meet liabilities as they arise

2 Introduction

The Trustees of Rajomon Growth Fund ARSN 664 946 801 (“Rajomon”/“Fund”), consistent with the obligation to act in the best interests of beneficiaries, is required to implement a sound investment governance framework which focuses on managing relevant risks and returns of the investment strategy. The responsible entity for the Fund and issuer of this PDS is Vasco Trustees Limited (ACN 138 715 009, AFSL 344 486).

The Responsible Entity is not authorised under the Banking Act and is not supervised by the Australian Prudential Regulation Authority (APRA), and investments in the Fund are not covered by the deposit or protection provisions available to depositors that make a deposit with an Australian authorised deposit-taking institution (ADI).

The scope of this review has been conducted and summarised in Table 5 below:

Table 5: The scope of this review

Investment Strategy	SAA Review	SAA Ranges	Investment Objective	Standard Risk Measure	Scenario Stress Testing	ESG Stress Testing	Liquidity Stress Testing
Rajomon Growth Fund	✓	✓	✓	✓	✓	✓	✓

3 Review of Investment Strategies

A review of the current investment strategy and policy has been conducted. The investment objective, asset allocation and risk label have been examined.

Note that there is an inconsistency between the Strategic Asset Allocations (SAAs) and investment ranges presented in the Product Disclosure Statement (PDS as of August 2023) and the Investment Policy Statement (IPS as of October 2024). For the purposes of this report, the most recent SAAs as outlined in the IPS have been used for analysis, while the investment ranges have been sourced from the PDS.

3.1 Scenario Analysis Assumptions

Scenario analysis, on a forecast and historical basis, of annual portfolio returns and volatility of returns, growth/defensive asset allocation and probability of a negative return for Rajomon has been undertaken.

Scenarios will be applied across the investment strategies based on the condition as detailed in Table 6.

Table 6: Scenarios settings

Category	Scenario 1	Scenario 2
Date Type	After management fees and pre-tax	After management fees and pre-tax
Confidence Level	95.0%	95.0%
Return and Volatility	Historical 30-year	Forecast 10-year
Correlation and methods	Historical 30-year	Historical 5-year, using Covariance Matrix
CPI	2.65%	2.75%

Value at risk is employed to measure the largest loss likely to be incurred over one year with a confidence level (varies upon scenarios). Standard Risk Measure, as per the FSC/AFSA guidelines has been derived for each investment option, and it does not account for the effects of administration fees or taxes.

Refer to Appendix A for detailed asset classes assumptions.

3.2 The Most Volatile and the Least Volatile Portfolios

Atchison Consultants has utilised a proxy approach for testing SAA ranges to generate:

- the most volatile portfolio for each investment option, denoted as P1. This portfolio has been structured to ensure that the allocation of assets conforms to the minimum range requirement for each asset class and growth-defensive constraints, while concurrently allocating the maximum range value to the most volatile asset classes based on forecast volatility.
- the least volatile portfolio for each investment option, denoted as P2. This portfolio has been structured to ensure that the allocation of assets conforms to the minimum range requirement for each asset class and growth-defensive constraints, while concurrently allocating the maximum range value to the least volatile asset classes based on forecast volatility.

The asset allocations and scenario analysis of P1 and P2 for each investment option are displayed in the following sections.

3.3 Actual Allocation Analysis

The table below presents the underlying investment managers in which Rajomon was invested as of 28 Feb 2025, along with their respective classifications. Refer to Appendix D for detailed information.

APIR	Name	Current	Recommended	28/02/2025 Weights
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SFY-AU	SPDR S&P ASX 50	AE	Aust Eqs	17.8%
ISO-AU	BlackRock iShares S&P/ASX Small Ordinaries ETF	AE	Aust Eqs	1.3%
MVE-AU	VanEck S&P/ASX MidCap ETF	AE	Aust Eqs	3.9%
SMLL-AU	BetaShares Australian Small Companies Select	AE	Aust Eqs	2.2%
VGS-AU	Vanguard MSCI International Shares Index ETF	GE	Global Eqs	18.8%
ETHI-AU	BetaShares Global Sustainability Leaders ETF	GE	Global Eqs	3.1%
IWLD-AU	iShares Core MSCI World ex Australia ESG Leaders ETF	GE	Global Eqs	
QSML-AU	VanEck MSCI International Small Companies Quality ETF	GE	Global Eqs	2.9%
IXJ-AU	BlackRock iShares Global Healthcare ETF	GE	Global Eqs	3.0%
DRUG-AU	BetaShares Global Healthcare ETF	AI	Global Eqs	1.9%
VAP-AU	Vanguard Australian Property Securities Index ETF	PR	Listed Property	4.1%
REIT-AU	VanEck FTSE International Property (Hedged) ETF	PR	Listed Property	5.3%
CURE-AU	ETFS S&P Biotech ETF	AI	Alternatives	2.2%
MOAT-AU	VanEck Morningstar Wide Moat ETF	AI	Alternatives	1.0%
RBTZ-AU	BetaShares Global Robotics and Artificial Intelligence ETF	AI	Alternatives	2.1%
GOLD-AU	ETFS Physical Gold	AI	Alternatives	1.6%
IAF-AU	BlackRock iShares Core Composite Bond ETF	IS	Fixed Income	1.5%
IGB-AU	BlackRock iShares Treasury ETF	IS	Fixed Income	1.5%
VIF-AU	Vanguard International Fixed Interest Index Hedged ETF	IS	Fixed Income	5.9%
CRED-AU	BetaShares Investment Grade Corporate Bond ETF	CR	Credit	1.5%
USHY-AU	ETFS USD High Yield Bond (Currency Hedged) ETF	CR	Credit	1.5%
LEND-AU	VanEck Global Listed Private Credit (AUD Hedged) ETF	CR	Credit	11.6%
AAA-AU	BetaShares Australian High Interest Cash ETF		Cash	
MMKT-AU	Betashares Australian Cash Plus Fund (managed fund)	CA	Cash	2.9%
AUD		CA	Cash	2.5%

The table below displays the Actual Asset Allocation (AAA) as at Feb 2025, along with the corresponding deviations from the Strategic Asset Allocation (SAA). While all asset classes remain within their designated ranges, Listed Property, Credit, and Fixed Income exhibit relatively significant deviations.

Major Asset Classes	AAA	SAA	Deviation	Min	Max
Aust Eqs	25.2	27	-1.8	20.0%	40.0%
Global Eqs	29.7	27	2.7	20.0%	40.0%
Listed Property	9.4	20	-10.6	0.0%	30.0%
Alternatives	6.9	10	-3.1	7.0%	15.0%
Credit	14.6	6	8.6	0.0%	15.0%
Fixed Income	8.8	7	1.8	0.0%	15.0%
Cash	5.4	3	2.4	0.0%	50.0%
Total	100.0%	100.0%			

3.4 Benchmarks

The table below presents the current and recommended benchmarks for major asset classes and sub asset classes.

Asset Class	Current Benchmark	Recommended Benchmark
Australian Equities (AE)	S&P ASX 300 Accum	S&P ASX 300 Accum
Global Equities (GE)	MSCI World ex-Aus TR (hg AUD)	MSCI World ex-Aus TR Unhedged in AU
Property Securities	50/50 Global REITs/Aust REITs	50/50 Global REITs/Aust REITs
Alternatives	25/25/25/25 AE/GE/GFI/AFI	Optional: 25/25/25/25 AE/GE/GFI/AFI AMI Alternative Index Credit Suisse Hedge Fund Index CPI + 4% p.a., lack of volatility comparability
Credit	50/50 HY/IG	50/50 Private Credit / High Yield
Fixed income	50/50 Global FI/Aust FI	50/50 Global FI/Aust FI
Cash	Bloomberg Ausbond Bank Bill Index	Bloomberg Ausbond Bank Bill Index

Sub Asset Class	Current Benchmark	Recommended Benchmark
Global REIT's	FTSE EPRA Nareit Dev (Hg AUD)	FTSE EPRA Nareit Dev (Hg AUD)
Aust REIT's	S&P ASX 200 A-REIT Accum Index	S&P ASX 200 A-REIT Accum Index
Global Fixed Income (GFI)	Barclays Global Agg TR (hg AUD)	Barclays Global Agg TR (hg AUD)
Aust Fixed Income (AFI)	Bloomberg Ausbond Composite	Bloomberg Ausbond Composite
High Yield (HY)	Bloomberg US Corp HY TR Index	Bloomberg US Corp HY TR Index
Investment Grade (IG)	Bloomberg US Agg TR Index	
Private Credit		Cliffwater Direct Lending Returns Spliced with Indxx Private Credit Index

A benchmark for the **Alternative** asset class that aims for a 50/50 blend of growth and defensive characteristics is inherently difficult due to the heterogeneous and often bespoke nature of alternatives. The following approaches can serve as pragmatic proxies:

Benchmark	Alts Relevance	Growth/Defensive	Risk Comparability	Transparency	Australian Fit
Custom blend of traditional indices: 25%/25%/25%/25% AE/GE/GFI/AFI	Low	Balanced	Misaligned (too high)	High	High
Peer index: AMI Alternative Index	High	Balanced	Good	Moderate	High
Credit Suisse Hedge Fund Index	High	Balanced	Good	Moderate	Low
CPI + 4% p.a., lack of volatility comparability	Moderate	Neutral	None	High	High

3.5 Analysis of Strategy: Growth Fund

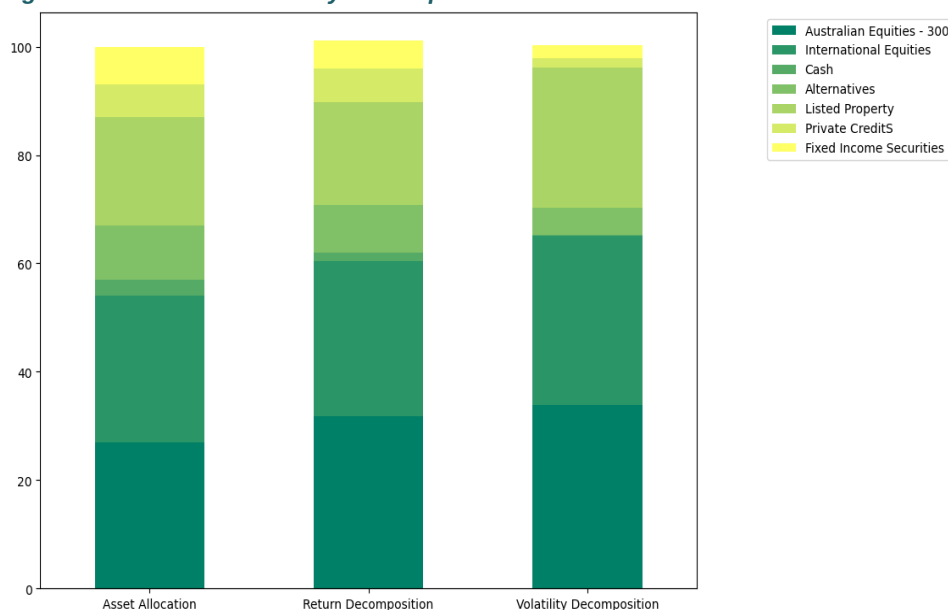
3.5.1 Analysis of Asset Allocation

Table 8 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current stated investment objective of CPI + 3.5% pa over 10-year periods, on a historical basis, after management fees and before tax.

Table 8: Scenario 1 Historical Analysis – Strategic Asset Allocations

Category	SAA	AAA	SAA with DP	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes					
Australian Equities(%)	27.0	25.2	27.0	30.0	20.0
International Equities(%)	27.0	29.7	27.0	20.0	38.0
Cash(%)	3.0	5.4	3.0	0.0	20.0
Rajomon Medical Centre Assets(%)	0.0	0.0	10.0	0.0	0.0
Alternatives(%)	10.0	6.9	10.0	7.0	7.0
Listed Property(%)	20.0	9.4	10.0	30.0	0.0
Credit(%)	6.0	14.6	6.0	0.0	15.0
Fixed Income Securities(%)	7.0	8.8	7.0	13.0	0.0
Total	100	100	100	100	100
Growth(%)	90.0	85.8	90.0	87.0	80.0
Defensive(%)	10.0	14.2	10.0	13.0	20.0
Scenario Analysis					
Return(% p.a.)	7.9	7.8	8.1	7.8	7.4
Volatility(% p.a.)	8.5	7.5	7.5	9.3	6.8
Sharpe	0.43	0.49	0.52	0.39	0.48
Risk Band	5.0	4.0	4.0	5.0	4.0
Risk Level	Medium to High	Medium	Medium	Medium to High	Medium
Probability of Achieving CPI-based Return Target					
CPI+2.5%p.a. over a 5-year rolling period(%)	81.9	84.8	86.9	79.5	83.3
CPI+3.0%p.a. over a 5-year rolling period(%)	77.4	80.0	82.6	75.1	77.8
CPI+3.5%p.a. over a 5-year rolling period(%)	72.1	74.3	77.3	70.0	71.1
CPI+4.0%p.a. over a 5-year rolling period(%)	66.2	67.8	71.2	64.5	63.5
CPI+4.5%p.a. over a 5-year rolling period(%)	59.8	60.5	64.2	58.4	55.2
CPI+2.5%p.a. over a 7-year rolling period(%)	89.0	91.6	93.4	86.6	90.2
CPI+3.0%p.a. over a 7-year rolling period(%)	84.4	87.2	89.7	81.9	84.8
CPI+3.5%p.a. over a 7-year rolling period(%)	78.6	81.2	84.5	76.1	77.4
CPI+4.0%p.a. over a 7-year rolling period(%)	71.5	73.5	77.7	69.3	68.1
CPI+4.5%p.a. over a 7-year rolling period(%)	63.2	64.2	69.1	61.5	57.1
CPI+2.5%p.a. over a 8-year rolling period(%)	91.9	94.2	95.7	89.6	92.9
CPI+3.0%p.a. over a 8-year rolling period(%)	87.6	90.2	92.6	85.1	87.9
CPI+3.5%p.a. over a 8-year rolling period(%)	81.8	84.4	87.8	79.2	80.5
CPI+4.0%p.a. over a 8-year rolling period(%)	74.3	76.4	80.9	71.8	70.5
CPI+4.5%p.a. over a 8-year rolling period(%)	65.1	66.2	71.7	63.1	58.1
CPI+2.5%p.a. over a 9-year rolling period(%)	94.3	96.2	97.4	92.3	95.1
CPI+3.0%p.a. over a 9-year rolling period(%)	90.5	92.9	94.9	88.1	90.7
CPI+3.5%p.a. over a 9-year rolling period(%)	84.9	87.5	90.7	82.2	83.5
CPI+4.0%p.a. over a 9-year rolling period(%)	77.1	79.4	84.0	74.5	72.9
CPI+4.5%p.a. over a 9-year rolling period(%)	67.1	68.3	74.3	64.9	59.2
CPI+2.5%p.a. over a 10-year rolling period(%)	96.2	97.7	98.6	94.5	96.8
CPI+3.0%p.a. over a 10-year rolling period(%)	93.0	95.1	96.8	90.7	93.1
CPI+3.5%p.a. over a 10-year rolling period(%)	87.8	90.2	93.2	85.1	86.3
CPI+4.0%p.a. over a 10-year rolling period(%)	79.9	82.3	87.0	77.1	75.4
CPI+4.5%p.a. over a 10-year rolling period(%)	69.2	70.6	77.1	66.7	60.4
Annualised Value at Risk					
1 in 20 year event(%)	-6.2	-4.5	-4.3	-7.5	-3.7
Frequency of Negative Annual Total Return					
Number of Negative Annual Return in any 20-year period	3.5	2.9	2.8	3.9	2.7
Probability of a Negative Annual Return(%)	17.6	14.5	13.8	19.7	13.3

Figure 1: Return and Volatility Decomposition of Current SAA under Scenario 1



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

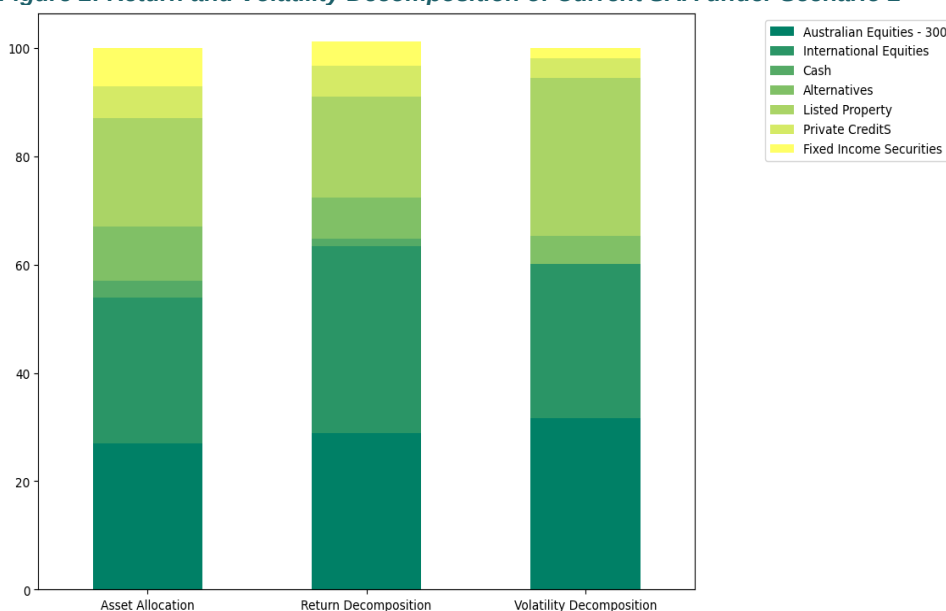
Table 9 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current stated investment objective of CPI + 3.5% pa over 10-year periods, on a forecast basis, after management fees and before tax.

Table 9: Scenario 2 Forecast Analysis – Strategic Asset Allocations

Category	SAA	AAA	SAA with DP	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes					
Australian Equities(%)	27.0	25.2	27.0	30.0	20.0
International Equities(%)	27.0	29.7	27.0	20.0	38.0
Cash(%)	3.0	5.4	3.0	0.0	20.0
Rajomon Medical Centre Assets(%)	0.0	0.0	10.0	0.0	0.0
Alternatives(%)	10.0	6.9	10.0	7.0	7.0
Listed Property(%)	20.0	9.4	10.0	30.0	0.0
Credit(%)	6.0	14.6	6.0	0.0	15.0
Fixed Income Securities(%)	7.0	8.8	7.0	13.0	0.0
Total	100	100	100	100	100
Growth(%)	90.0	85.8	90.0	87.0	80.0
Defensive(%)	10.0	14.2	10.0	13.0	20.0
Scenario Analysis					
Return(% p.a.)	6.9	6.9	7.6	6.8	6.7
Volatility(% p.a.)	10.7	9.5	9.2	11.7	8.2
Sharpe	0.37	0.42	0.50	0.33	0.46
Risk Band	6.0	6.0	6.0	6.0	6.0
Risk Level	High	High	High	High	High
Probability of Achieving CPI-based Return Target					
CPI+2.5%p.a. over a 5-year rolling period(%)	67.4	69.2	76.7	64.8	69.7
CPI+3.0%p.a. over a 5-year rolling period(%)	62.6	63.9	71.8	60.4	63.5
CPI+3.5%p.a. over a 5-year rolling period(%)	57.5	58.2	66.5	55.7	56.8
CPI+4.0%p.a. over a 5-year rolling period(%)	52.2	52.2	60.6	50.8	49.8
CPI+4.5%p.a. over a 5-year rolling period(%)	46.7	46.0	54.4	45.8	42.7
CPI+2.5%p.a. over a 7-year rolling period(%)	72.6	74.8	83.6	69.4	75.3
CPI+3.0%p.a. over a 7-year rolling period(%)	66.6	68.3	78.2	63.7	67.8
CPI+3.5%p.a. over a 7-year rolling period(%)	60.0	61.0	71.7	57.6	59.2
CPI+4.0%p.a. over a 7-year rolling period(%)	52.9	52.9	64.3	51.1	49.8
CPI+4.5%p.a. over a 7-year rolling period(%)	45.5	44.6	56.0	44.3	40.2
CPI+2.5%p.a. over a 8-year rolling period(%)	75.2	77.6	86.7	71.7	78.1

CPI+3.0%p.a. over a 8-year rolling period(%)	68.7	70.6	81.3	65.5	70.0
CPI+3.5%p.a. over a 8-year rolling period(%)	61.4	62.4	74.5	58.6	60.4
CPI+4.0%p.a. over a 8-year rolling period(%)	53.3	53.4	66.3	51.2	49.8
CPI+4.5%p.a. over a 8-year rolling period(%)	44.9	43.8	56.9	43.5	38.8
CPI+2.5%p.a. over a 9-year rolling period(%)	77.8	80.4	89.5	74.1	80.9
CPI+3.0%p.a. over a 9-year rolling period(%)	70.9	72.9	84.3	67.4	72.3
CPI+3.5%p.a. over a 9-year rolling period(%)	62.8	64.0	77.2	59.7	61.7
CPI+4.0%p.a. over a 9-year rolling period(%)	53.8	53.8	68.3	51.4	49.7
CPI+4.5%p.a. over a 9-year rolling period(%)	44.2	43.0	57.8	42.6	37.3
CPI+2.5%p.a. over a 10-year rolling period(%)	80.5	83.0	92.0	76.5	83.5
CPI+3.0%p.a. over a 10-year rolling period(%)	73.2	75.3	87.1	69.3	74.6
CPI+3.5%p.a. over a 10-year rolling period(%)	64.3	65.6	80.0	60.9	63.1
CPI+4.0%p.a. over a 10-year rolling period(%)	54.3	54.3	70.5	51.5	49.7
CPI+4.5%p.a. over a 10-year rolling period(%)	43.4	42.1	58.9	41.7	35.8
Annualised Value at Risk					
1 in 20 year event(%)	-10.6	-8.6	-7.6	-12.5	-6.7
Frequency of Negative Annual Total Return					
Number of Negative Annual Return in any 20-year period	5.1	4.6	4.0	5.6	4.0
Probability of a Negative Annual Return(%)	25.5	22.9	20.2	27.8	20.1

Figure 2: Return and Volatility Decomposition of Current SAA under Scenario 2



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

3.5.2 Current Investment Strategy

The current SAA for the investment strategy has been tested against a series of CPI-based investment objectives. Specific assessment seeking to confirm that the current SAA remains acceptable and that the current investment objective is likely to be achieved.

Analysis for Scenario 1 has been conducted after management fees and before tax:

- Under Scenario 1 the current investment objective of CPI + 3.5% pa over a 10-year rolling period is likely to be achieved at a 87.8% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -6.2% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High for the current SAA.

Analysis for Scenario 2 has been conducted after management fees and before tax:

-
- Under Scenario 2 the current investment objective of CPI + 3.5% pa over a 10-year rolling period is likely to be achieved at a 64.3% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -10.6% for the current allocation. The level of investment risk, as captured by SRM, is High for the current SAA.

3.5.3 SAA Ranges

The licensee is required to monitor the investment ranges to enable it to identify and respond to any significant deviation from the investment strategy in a timely manner. A range that is set to be too wide or narrow would render the strategies unconstrained or ineffective.

- Under Scenario 1, the current SAA and the most volatile portfolio (P1) would achieve an SRM of Medium to High, while the SRM for the least volatile portfolio (P2) is Medium
- Under Scenario 2, the most volatile portfolio (P1) and the least volatile portfolio (P2) would achieve the same SRM of High as the current asset allocation

As reviewed above, market fluctuations would have a modest impact on the investment strategy. For detailed stress testing analysis of P1 and P2, refer to Appendix B.

3.5.4 Recommendations

- Maintain the current Strategic Asset Allocation
- Maintain the current investment objective of CPI + 3.5% pa over rolling 10-year periods
- Maintain the current SRM of High

3.6 Analysis of Strategy: Growth Fund – Income Returns

3.6.1 Analysis of Asset Allocation

Table 8 tests and demonstrates the returns and volatility of returns, on a historical basis, using income returns, after management fees and before tax.

Table 7: Scenario 1 Historical Analysis – Strategic Asset Allocations

Category	Current SAA	Current SAA with DP
Asset Classes		
Australian Equities(%)	27	27
International Equities(%)	27	27
Cash(%)	3	3
Rajomon Medical Centre Assets(%)	0	10
Alternatives(%)	10	10
Listed Property(%)	20	10
Credit(%)	6	6
Fixed Income Securities(%)	7	7
Total	100	100
Growth(%)	90	90
Defensive(%)	10	10
Scenario Analysis		
Return(% p.a.)	3.9	4.2
Volatility(% p.a.)	0.7	0.7
Sharpe	-0.32	0.02
Risk Band	1	1
Risk Level	Very Low	Very Low

Table 9 tests and demonstrates the returns and volatility of returns, on a forecast basis, using income returns, after management fees and before tax.

Category	Current SAA	Current SAA with DP
Asset Classes		
Australian Equities(%)	27	27
International Equities(%)	27	27
Cash(%)	3	3
Rajomon Medical Centre Assets(%)	0	10
Alternatives(%)	10	10
Listed Property(%)	20	10
Credit(%)	6	6
Fixed Income Securities(%)	7	7
Total	100	100
Growth(%)	90	90
Defensive(%)	10	10
Scenario Analysis		
Return(% p.a.)	3.5	3.5
Volatility(% p.a.)	0.5	0.4
Sharpe	0.96	1.17
Risk Band	1	1
Risk Level	Very Low	Very Low

4 Stress Testing

4.1 Scenario Stress Testing

Stress testing scenarios have been performed on the proposed investment, factoring investment returns, SAA and risk factors that have the potential to influence the asset classes and therefore have an impact on the investment performance of the investment strategy.

Scenario stress testing has been considered for investment strategy; risk factors in relation to designated asset classes, respective asset allocation and investment objective.

Scenarios have been analysed on both a historical and forecast basis.

Detailed stress testing analysis is included in Appendix B.

Conclusions

The following conclusions have been reached:

1. Investment objectives:
 - On a historical basis, the proposed investment strategy assessed would have achieved its respective investment objective more than 50% of the time.
 - On a forecast basis, stress testing demonstrates that the investment strategy is likely to achieve its respective investment objectives at least 50% of the time.
2. Risk Analysis:
 - Over the 20-year period to March 2025, the proposed investment strategy would have achieved its respective risk objectives.
 - On a forecast basis, the current risk remains suitable.
3. Risk Factors:
 - Certain factors might have detrimental consequences on portfolio performance in the event of a 2 standard deviation shock.

Recommendations

It is recommended that the performance of the proposed investment strategy is monitored against the relevant trigger level on a quarterly basis. Trigger levels are derived using a 2 standard deviation event from the mean expected return of the respective portfolio. 2 standard deviations from the mean reflect a confidence interval of 95%.

A trigger level represents the minimum tolerance of a strategy's quarterly absolute performance. A breach of the trigger level i.e. a defined loss or minimum return to be achieved by the investment option between formal annual reviews. Should the actual investment performance fall below the relevant trigger level, the strategy may be deemed unlikely to meet its investment objective over the rest of the investment horizon and therefore will initiate a review of the investment strategy.

Table 12: Trigger Levels

Portfolios	Trigger Level(% p.a.)
Rajomon Growth Fund Current SAA	-14.5
Rajomon Growth Fund with DP Current SAA	-10.8

4.2 Environmental Stress Testing

Given the unique nature and asset allocations, the approach taken by the asset consultant to managing environmental risk is to test the Rajomon multi-asset investment portfolios expected investment performance through various significant historical environmental disasters. Refer to Appendix B.

Conclusion

- None of the environment disasters was a significant contributor (either negative or positive) to portfolio returns, likely due to the slow impact of climate change on asset class returns and the ability to take corrective actions as and when detrimental disasters etc. occur

Recommendation

- ESG stress testing to be performed annually

4.3 Liquidity Stress Testing

The SIS Act requires an RSE licensee to consider the liquidity of investments when formulating and implementing an investment strategy, while also considering the expected cash flow requirements of the RSE. Given the unique nature and asset allocations, the approach taken to managing liquidity risk is primarily focused on the Rajomon meeting its financial obligations and cash flow requirements in the best interests of the Trust members.

In view of the nature of the underlying investment, the Asset Consultant concludes that performing is deemed appropriate as there are adequate liquid assets in the asset allocations to meet fund members' redemption requests. The detailed liquidity testing analysis and methodology are included in Appendix C.

Conclusion

Consideration has been given to the liquidity of the underlying investments in stressed market conditions for Rajomon.

- Under normal market conditions, 6% of the allocation within the Rajomon Growth Fund is considered illiquid, increasing to 16% under stressed market conditions.
- In the case of the Rajomon Growth Fund with Direct Property, 16% of the allocation is classified as illiquid under normal market conditions, rising to 26% under stressed market conditions.

Recommendation

It is recommended that cash flow requirements are closely monitored to ensure sufficient cash is available to meet liabilities as they arise.

5 Appendix A – Assumptions

5.1 Analysis of Asset Classes

Historical and Forecast returns and volatility of returns for the relevant asset classes used in the asset allocation study are shown below. In respect of returns and volatility of returns, no allowance has been made for prospective value add through active investment management or the inclusion of sub-asset classes, except where specifically identified.

Table 13: Investment Total Returns and Volatility of Returns

Asset Class	Historical 30 Years Return(% p.a.)	Historical 30 Years Volatility(% p.a.)	Forecast 10 Years Return(% p.a.)	Forecast 10 Years Volatility(% p.a.)
Australian Equities	9.3	13.1	7.4	14.5
International Equities	8.3	12.1	8.9	13.1
Cash	4.2	0.6	3.0	0.5
Rajomon Medical Centre Assets	9.6	6.2	13.0	21.5
Alternatives	6.8	5.1	5.2	6.5
Listed Property	7.4	13.5	6.5	18.0
Credit	8.1	3.1	6.6	7.6
Fixed Income Securities	5.9	3.4	4.6	3.1

[^] Before management fees and tax

[^] Note that both Alternatives and Credit are considered as Growth Assets.

Table 13: Investment Income Returns and Volatility of Returns

Asset Class	Historical 30 Years Return(% p.a.)	Historical 30 Years Volatility(% p.a.)	Forecast 10 Years Return(% p.a.)	Forecast 10 Years Volatility(% p.a.)
Australian Equities	4.2	1.0	4.0	1.0
International Equities	1.7	0.2	1.9	0.5
Cash	4.2	0.6	3.0	0.5
Rajomon Medical Centre Assets	5.8	1.0	4.5	0.7
Alternatives	6.8	5.1	1.8	0.8
Listed Property	3.5	1.1	4.2	1.4
Credit	8.1	3.1	8.8	2.5
Fixed Income Securities	5.9	3.4	4.1	2.0

Alternatives

Alternatives serve to enhance portfolio outcomes by providing diversification, downside protection, return enhancement, inflation hedging, and access to non-traditional risk premia not typically captured by equities or bonds. Refer to Appendix D for details.

Credit

Current Fixed Interest investments are focused on traditional fixed interest market investments, that are principally exposed to Government Debt and have their key return driver being interest rate sensitivity / interest rate duration profile. This category of assets forms the bulk of the “Defensive” ballast for the portfolio.

It is proposed to create a new asset category named **Credit**, that will allocate to debt-related investments that have their principal risk factor being Credit profile – as opposed to interest rate sensitivity.

The spectrum of investments is expected to include: traditional Investment Grade Credit, High Yield credit, Asset Backed securities as well as less liquid Bank loan and Private Credit opportunities. We note these investments will include both fixed-rate and floating-rate opportunities, however the key driving factor of return outcome will be credit in nature.

The credit portfolio is expected to be higher yielding and of a materially higher risk level than the existing fixed interest investments. Its allocation therefore is proposed to be funded from existing Growth Assets, so as to not further dilute the existing 'Defensive' assets within the portfolio.

Management is proposing to seed the new Credit asset class with VanEck Global Listed Private Credit (AUD Hedged) ETF. The intent of management is to identify additional private credit opportunities in coming months with a focus on illiquid credit opportunities for this asset class.

Direct Property

The Rajomon Medical Centre Assets portfolio is anticipated to yield attractive returns with less volatility relative to other sectors as Australia's growing and aging population is catalysing robust growth in the demand for healthcare services and government funding of sector helps underwrite growth and tenant credit quality. A higher risk profile has been accounted for in the assumptions of the asset class, on account of the exposure to development and ongoing operational risks of the proposed Medical Centre assets. The use of the Private Equity series as part of the asset class benchmark for the asset class is intended as a proxy for the risk premium required for the operational and development risk involved in the construction and ongoing management of the proposed assets.

6 Appendix B – Scenario Stress Testing

6.1 Background

This section is to understand and gauge how severe the impact on a Fund's investment performance would be in the event of an extraordinary market condition. A range of stress testing scenarios have been developed and conducted on Rajomon. The Asset Consultant has considered the following when conducting stress testing scenarios:

- Strategic asset allocations
- Return objectives
- Risk factors that can influence major asset classes

Scenario stress testing has considered risk factors in nominated asset classes, asset allocation and investment objectives of Rajomon.

The trigger level has been determined for Rajomon.

- A breach of the trigger level i.e. a defined loss or minimum return to be achieved by Rajomon in any one year may prompt a review of the causes of the loss and/or reconsider the ongoing suitability of the underlying strategy

The performances of P1 (the most volatile portfolio) and P2 (the least volatile portfolio) are presented in Tables 15 & 16 & 17, alongside the strategic asset allocation.

6.2 Investment Option

Following this review of the underlying investment strategies of Rajomon, scenario stress testing is being conducted on recommended SAA and investment objective incorporating the Asset Consultants historical and forecast returns and volatilities per asset class.

The current and recommended investment objective of the Rajomon and its respective Standard Risk Measure (SRM - as a measure of risk) is presented in Table 14 below.

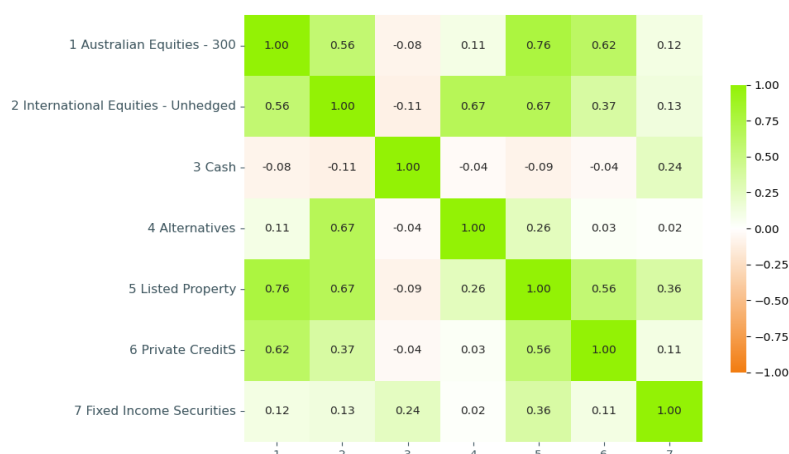
Table 14: Current Investment Objective

Investment Strategy	Current Return Objectives	Current Risk Objectives
Rajomon Growth Fund	CPI+3.5% pa over rolling 10-year periods	4 - 6 (High)

6.3 Portfolio Diversification

A correlation matrix is employed to demonstrate the relationship among asset classes in the portfolios based on historical monthly returns to March 2025. The correlation coefficient in each cell measures the strength and direction of a linear relationship between two variables, ranging from -1 to 1 (perfect negative correlation to perfect positive correlation).

Figure 5: Correlation heatmap



Conclusion

- The Fixed Interest exhibits low correlations with Equities, thereby reducing the overall portfolio risk. The non-synchronous movements of these assets help to smooth out the portfolio's returns over time.

6.4 Risk Factors

The Asset Consultants portfolio construction process takes into consideration forward looking return, volatility of return and correlation forecasts across asset classes. These forecasts represent the aggregation of risk factors and their estimated impact at the asset class level.

Risk factor modelling assists in the assessment of the sensitivity of a portfolio to underlying risk-factors.

The rationale behind risk-factor modelling is that asset classes represent the grouping of underlying securities or investments which demonstrate similar types of underlying risk characteristics. Risk factors may be broadly divided into systematic and unsystematic categories and have varying types and levels of impact across different asset classes. Unsystematic risk, also known as 'specific risk', is the type of uncertainty that comes with the company or industry invested in. Unsystematic risk can be reduced through diversification.

Changes in the underlying risk-factors are due to changing macro and micro-economic conditions as well as financial market perceptions. These changes drive the risk-return profiles of assets over time and are generally not consistent. This is demonstrated through inconsistent historical asset class correlations across time.

6.4.1 Example of Risk Factors

Asset classes and asset sub-classes have different primary risk attributes. Table 15 provides an example of primary risk factors within asset classes.

Table 15: Indicative Primary Risk Attributes across Asset Classes

Asset Classes	Inflation	EPS Growth	Interest Rate	Credit Spreads	Currency	Climate
Australian Equities	✓	✓				✓
International Equities	✓	✓			✓	✓
Australian Listed Property	✓	✓	✓			✓
International Listed Property	✓	✓	✓		✓	✓
Australian Fixed Interest	✓		✓	✓		✓
International Fixed Interest	✓		✓	✓	✓	✓
Cash	✓		✓		✓	

6.4.2 Target Exposure

A list of risk factors is identified and analysed in relation to the portfolio's performance. Regression models are developed to examine the portfolio's exposure to these risk factors under various market conditions using the quarterly change rate of portfolio returns and the following independent variables:

Table 16: Risk Factors Identification

Risk Factors	Category	Causation
World GDP Growth	Economic	Indicator of global economic health and can influence corporate profits, investment returns, and overall market sentiment
RBA Cash Rate	Economic	Changes in this rate affect borrowing costs, consumer spending, and investment decisions
US EPS Growth	Market	Reflects the profitability of companies in the United States
Australian EPS Growth	Market	Reflects the profitability of companies in the Australia
Credit Spread	Market	Signals economic uncertainty and affect the performance of fixed income components
Gold	Commodity	Reflects broader economic and geopolitical conditions
Oil	Commodity	Reflects corporate profit margins, and consumer spending
AUDUSD	Currency	Affects the value of investments denominated in US dollars when converted to Australian dollars
Carbon Emission_lag1yr	Environmental	Regulations and market shifts towards sustainability might lead to regulatory risks, increased costs, and potential reputational damage, affecting long-term portfolio returns

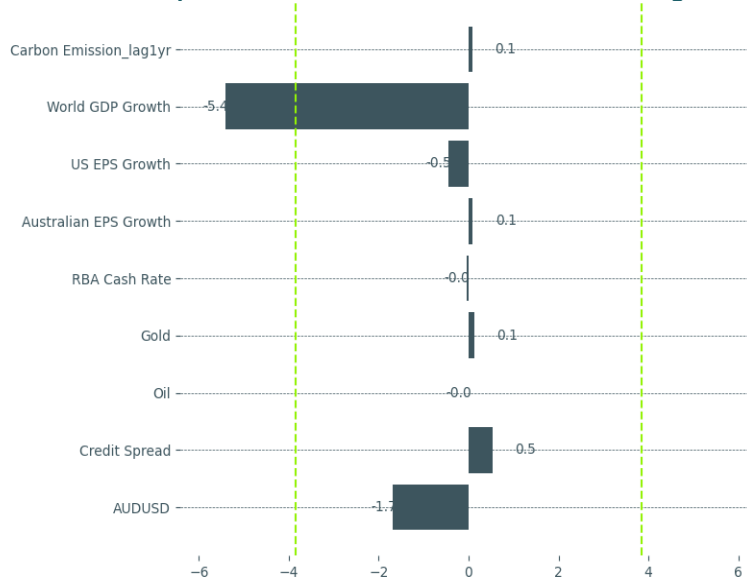
Statistical models are built based on historical data and established methodologies. While we strive to ensure the accuracy and reliability of our model and are committed to the continuous validation and refinement of our model to improve its performance and relevance, it is crucial to consider situational factors when making decisions based on our data.

To interpret the bar charts:

- The green dash line represents the quarterly trigger level (refer to Appendix B – Trigger Level) calculated for the portfolios
- The length of the bar signifies the projected portfolio performance in response to a 2 standard deviation (SD) negative shock of a given factor. This assumed shock represents extreme market conditions, with a 95% probability that a factor will not induce such a shock. When this shock does occur, a longer bar indicates a higher downturn in the portfolio's performance.
- Positive bars indicate negative correlations between the portfolio returns and factors and mirrored absolute value of trigger levels are depicted to reflect the extent to which the portfolio is negatively influenced by the factor.

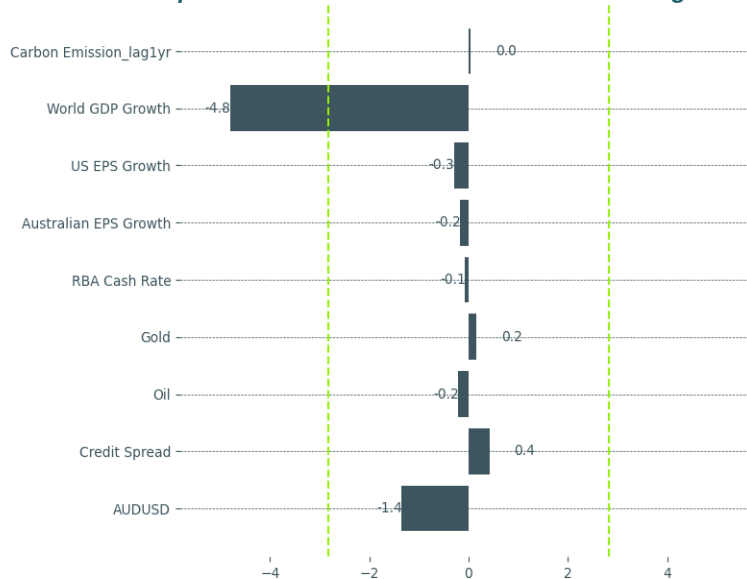
Rajomon Growth Fund

Figure 5: Estimated SAA performance under 2 standard deviation negative factor shocks



Rajomon Growth Fund with DP

Figure 6: Estimated SAA performance under 2 standard deviation negative factor shocks



Conclusion

As an example, using the Growth Fund Option whose quarterly trigger level as determined in Appendix B - Trigger Levels is -3.6%, the bar chart illustrates that certain factors might have detrimental consequences on portfolio performance in the event of a 2 standard deviation shock. For instance, with a two SD negative shock,

- World GDP Growth will lead to an estimated quarterly change in the investment performance of -5.4%, thereby triggering the quarterly portfolio threshold of -3.6%.
- RBA Cash Rate will lead to an estimated quarterly change in the investment performance of -0.0%,
- US EPS Growth will lead to an estimated quarterly change in the investment performance of -0.5%,
- Australian EPS Growth will lead to an estimated quarterly change in the investment performance of 0.1%,
- Credit Spread will lead to an estimated quarterly change in the investment performance of 0.5%,

-
- Gold will lead to an estimated quarterly change in the investment performance of 0.1%,
 - Oil will lead to an estimated quarterly change in the investment performance of -0.0%,
 - AUDUSD will lead to an estimated quarterly change in the investment performance of -1.7%,
 - Carbon Emission_lag1yr will lead to an estimated quarterly change in the investment performance of 0.1%,

Recommendation

- It is recommended to review the association between the portfolio performance and risk factors on an annual basis.
- It is hereby recommended that the factor triggers be monitored on a quarterly basis. In the event that the trigger levels are breached, the portfolios shall be rebalanced accordingly.

6.5 Methodology

6.5.1 Scenario Stress Testing

Extensive scenario testing of investment returns, the frequency and depth of drawdowns, and investment objective based on the SAA has been conducted for Rajomon.

- 20-year historical analysis has incorporated actual asset class returns generated for each annual period to March 2025
- Forecast analysis has utilised randomly generated returns to generate large number of possible scenarios, each simulating asset class performance over periods in alignment with the options' specific investment objectives

Cholesky modelling has been employed to forecast a set of randomly correlated asset class returns in collaboration with the Asset Consultant asset class return and volatility forecast and the Monte Carlo Simulation modelling to test large number of investment return simulations. A brief overview of the Cholesky decomposition and Monte Carlo Simulation follows.

6.5.2 Cholesky Modelling

Cholesky modelling generates a series of randomly correlated returns on basis of historical asset class returns. The underlying assumption is that correlation of future returns will be similar to historical correlations.

Below is a brief overview of the steps involved in Cholesky modelling.

- A matrix of historical correlation between asset classes has been calculated over a 20-year period to March 2025. This historical correlation informs the Cholesky decomposition
- A large set of uncorrelated return scenarios are generated using the expected return and volatility of return profile of asset classes
- The Cholesky decomposition technique transforms the set of uncorrelated returns into returns that are similarly correlated to the historical correlation matrix

The Cholesky decomposition is commonly used in conjunction with Monte Carlo simulation to run a large range of scenarios. Results of the scenarios are analysed from a statistical perspective.

6.5.3 Monte Carlo Simulation Analysis

Monte Carlo simulation is a widely used technique in scenario analysis. Analysis has been conducted by performing 1,000 iterations of randomly generated, Cholesky decomposition correlated asset class returns series.

The model subsequently generates a series of probable outputs, from which the average or mean, ranges and 95% confidence limit for a particular test can be observed.

Monte Carlo simulation is a widely used mathematical technique that allows financial analysts and investment managers to account for variability in their process, thus enhancing quantitative analysis and decision-making processes.

6.6 Historical Analysis – Results

The proposed and recommended SAA for Rajomon has been stress tested on basis of historical annual asset class returns to March 2025. The analysis assumes that Rajomon is rebalanced to the proposed and recommended SAA on an annual frequency.

The analysis is founded on market returns from asset classes and therefore does not take into account the active management of asset classes or sub-classes.

6.6.1 Historical Drawdowns

Rajomon has been stress tested through historical drawdown periods. Table 17 demonstrates the market and the Rajomon performances during these periods.

Table 17: Historical Drawdown

Categories	Emerging Market Debt Crisis (07/1997-08/1998)%	Tech Reck (03/2000-10/2002)%	Global Financial Crisis (11/2007-02/2009)%	European Debt Crisis (01/2009-12/2010)%	Taper Tantrum (05/2013-08/2013)%	Covid-19 Market Drawdown (12/2019-04/2020)%	Inflation Spike (01/2022-10/2022)%
Australian Equities	-5.5	5.9	-46.0	47.3	5.3	-16.5	2.0
International Equities	26.4	-38.0	-33.3	-2.5	8.3	-5.7	-7.2
Cash	5.5	14.6	9.0	7.9	0.7	0.3	0.7
Rajomon Medical Centre Assets	18.1	-0.8	-12.3	17.9	3.3	-4.1	0.7
Alternatives	0.0	0.0	-4.2	-0.8	5.5	-0.5	-0.2
Listed Property	13.6	13.4	-59.8	15.5	-0.5	-17.6	-14.7
Credit	7.7	22.2	-4.7	39.9	2.2	-6.6	0.7
Fixed Income Securities	9.1	24.5	12.0	12.4	-0.7	2.9	-10.0
Rajomon Growth Fund Current SAA	9.6	-2.5	-33.0	18.6	4.2	-9.7	-5.0
Rajomon Growth Fund P1	8.9	1.4	-37.1	19.9	3.4	-11.0	-6.6
Rajomon Growth Fund P2	11.2	-7.0	-21.1	16.0	5.1	-6.4	-2.1
Rajomon Growth Fund with DP Current SAA	10.0	-2.4	-26.5	19.9	4.4	-8.2	-3.8

Conclusion

- During the GFC drawdown period, Rajomon Growth Fund Current SAA would have generated a return of -33.0%, Rajomon Growth Fund with DP Current SAA would have generated a return of -28.2%, mainly driven by the significant underperformances of growth assets in the recession
- During the Tech Bubble drawdown period, Rajomon Growth Fund Current SAA would have generated a return of -2.5%, Rajomon Growth Fund with DP Current SAA would have generated a return of -3.9%, as Nasdaq fall 78% from its peak but there were strong performances from holding real assets
- During the Covid-19 drawdown period, Rajomon Growth Fund Current SAA would have generated a return of -9.7%, Rajomon Growth Fund with DP Current SAA would have generated a return of -8.4%, as global quarantine measures disrupted the business supply chain and deteriorated revenue, leading to poor returns for most assets
- During the Inflation Spike 2022 drawdown period, Rajomon Growth Fund Current SAA would have generated a return of -5.0%, Rajomon Growth Fund with DP Current SAA would have generated a return of -3.5%, as rising yields and widening spreads caused bond valuations to reverse resulting in unprecedented losses

6.6.2 Environmental Drawdowns

The asset consultant has considered major environmental drawdown periods for each investment option e.g. nuclear disasters, hurricanes, oil leaks and other extreme climate conditions. Table 18 evaluates the impact of the major historical environmental events on climate change and the performance of the investment options.

Table 18: Environmental Drawdown

Categories	Deepwater Horizon (04/2010-09/2010)%	Fukushima Nuclear Disaster (02/2011-03/2011)%	Hurricane Sandy (09/2012-11/2012)%	Hurricane Harvey (07/2017-09/2017)%	Amazon Wildfires (12/2018-10/2019)%	Australian Bushfire Season (08/2019-03/2021)%	Eastern Australia floods (01/2022-04/2022)%
Australian Equities	-2.5	0.7	3.3	0.8	22.4	8.7	8.2
International Equities	-4.5	-2.6	0.2	4.3	23.2	19.6	-9.3
Cash	2.0	0.4	0.6	0.3	1.3	0.7	-0.0
Rajomon Medical Centre Assets	5.1	1.3	2.0	2.3	8.9	-15.6	0.4
Alternatives	0.8	0.1	0.8	2.1	8.7	13.2	-2.6
Listed Property	0.8	-2.1	2.9	2.1	23.5	-7.2	-0.4
Credit	5.6	1.1	1.8	1.1	6.9	7.7	-0.5
Fixed Income Securities	5.2	0.5	0.7	0.1	7.9	0.2	-6.2
Rajomon Growth Fund Current SAA	-0.9	-0.8	1.8	2.1	18.9	8.0	-1.1
Rajomon Growth Fund P1	-0.7	-0.9	2.0	1.9	20.0	5.3	-0.5
Rajomon Growth Fund P2	-0.9	-0.6	1.2	2.2	15.2	11.4	-2.2
Rajomon Growth Fund with DP Current SAA	-0.5	-0.6	1.6	2.0	17.1	9.4	-1.5

In terms of the returns for each option:

- There is no prominent underperformance for each asset class across all the environmental drawdown periods mentioned above
- Some downtrends might be driven by the market drawdown or other economic indicators

6.6.3 Risk Objectives

The number of negative annual returns generated by Rajomon over twenty years to March 2025 is shown in Table 14 and a comparison has been made to their respective number of negative annual returns over any 20-year period (Standard Risk Measure) for Rajomon.

Table 19: Risk Objectives

Options	Risk Objectives	Negative Annual Returns	Drawdown Years	Risk Objective Met
Rajomon Growth Fund Current SAA	4 - 6	3	2008 2011 2022	Yes
Rajomon Growth Fund P1	4 - 6	3	2008 2011 2022	Yes
Rajomon Growth Fund P2	4 - 6	3	2008 2011 2022	Yes
Rajomon Growth Fund with DP Current SAA	4 - 6	3	2008 2011 2022	Yes

All strategies of Rajomon have achieved the number of negative annual returns over the 20-year period to March 2025.

6.7 Forecast Analysis – Results

6.7.1 Return Analysis

Table 20 shows the return characteristics of the asset allocations using simulated investment returns over their investment horizons correspondingly.

Table 20: Forecast Return Distribution

Investment Option	Min	5% Confidence Interval	50% Confidence Interval	95% Confidence Interval	Max	Standard Deviation
Rajomon Growth Fund SAA	-18.7	-11.1	7.1	25.3	33.8	9.3
Rajomon Growth Fund P1	-23.2	-14.2	7.2	28.6	44.8	10.9

Rajomon Growth Fund P2	-15.5	-8.4	6.6	21.7	29.0	7.7
Rajomon Growth Fund with DP SAA	-18.7	-9.9	7.7	25.2	33.5	9.0

With a confidence level of 95%,

- Rajomon Growth Fund Current SAA is expected to return between -11.1% p.a. and 25.3% p.a., with an average return of 7.1% p.a.
- Rajomon Growth Fund with DP Current SAA is expected to return between -9.9% p.a. and 25.2% p.a., with an average return of 7.7% p.a.

6.7.2 Risk Analysis

Table 21 shows the expected number of negative years for the strategic asset allocations relative to their respective number of negative annual returns over any 20-year period as proxied by their current risk disclosures (Standard Risk Measure):

- Forecasted returns and volatility of returns, and
- Simulated 1,000 scenarios of 20-year investment periods. Assessment for the scenario stress testing was conducted on basis of the average number of negative annual returns.

Table 21: Number of Negative Annual Returns in a 20-year Period

Investment Option	Negative Annual Returns
Rajomon Growth Fund Current SAA	4
Rajomon Growth Fund P1	5
Rajomon Growth Fund P2	3
Rajomon Growth Fund with DP Current SAA	4

6.8 Trigger levels

Whilst it is proposed that Rajomon be reviewed annually, a trigger level has been defined to approximate a loss or minimum return that will erode the level of confidence in achieving the investment objective of Rajomon over the defined investment horizon to a probability of less than 50%.

On a quarterly basis, performance of Rajomon is to be monitored against the trigger level to ensure that Rajomon maintains at least a 50% probability to achieve its investment objective.

A breach of the trigger level i.e. a defined loss or minimum return to be achieved by Rajomon between formal annual reviews, should prompt a review of the causes of the loss and/or reconsider the ongoing suitability of Rajomon underlying strategy.

Trigger level have been determined for Rajomon and provided in Table 22 below.

Table 22: Trigger Levels

Portfolios	Trigger Level(% p.a.)
Rajomon Growth Fund Current SAA	-14.5
Rajomon Growth Fund with DP Current SAA	-10.8

7 Appendix C - Liquidity Stress Testing

The SIS Act requires an RSE licensee to consider the liquidity of investments when formulating and implementing an investment strategy, while also considering the expected cash flow requirements of the RSE. Given the unique nature and asset allocations, the approach taken to managing liquidity risk is primarily focused on the Rajomon meeting its financial obligations and cash flow requirements in the best interests of the Trust members.

In view of the nature of the underlying investment, the Asset Consultant concludes that performing is deemed appropriate as there are adequate liquid assets in the asset allocations to meet fund members' redemption requests.

The tables below show the liquidity assets allocation of the current SAA in normal and stressed liquidity condition. The assets that cannot be readily liquidated within 30 days are deemed illiquid.

Table 14: Liquidity asset allocation for Rajomon Growth Fund

Liquidity	Current SAA Normal(%)	Current SAA Stressed(%)
Liquid assets (<= 30 days)	94.0	84.0
Illiquid assets (> 30 days)	6.0	16.0

Table 15: Liquidity asset allocation for Rajomon Growth Fund with DP

Liquidity	Current SAA Normal(%)	Current SAA Stressed(%)
Liquid assets (<= 30 days)	84.0	74.0
Illiquid assets (> 30 days)	16.0	26.0

7.1 Liquidity Profile

The tables below indicate the Asset Consultants expected time to liquidate assets within each single asset class and each allocation under a normal and stressed economic environment and the stacked bar charts display the liquidity profile of both the actual and strategic asset allocations under normal and stressed liquidity conditions. The licensee is required to be aware of the likely liquidity of different underlying investment strategies under stressed financial market conditions.

Table 16: Liquidity in days per asset class

Asset Classes	Normal Liquidity (Days)	Stressed Liquidity (Days)
Australian Equities	2.0	10.0
International Equities	5.0	15.0
Cash	1.0	1.0
Rajomon Medical Centre Assets	730.0	1825.0
Alternatives	30.0	365.0
Listed Property	5.0	12.5
Credit	187.5	1002.5
Fixed Income Securities	5.0	15.0

To interpret the stacked bar chart:

- The X-axis represents the various liquidity periods, including 1 week (1W), 2 weeks (2W), 1 month (1M), 6 months (6M), 1 year (1Y), 2 years (2Y), and longer than 2 years (>2Y).
- The Y-axis represents the percentage of redeemable assets of total assets. The value of 100 indicates that all assets are ready for redemption.
- The sooner the investment option achieves 100% redeemable assets out of total, the more robust its liquidity position.

Rajomon Growth Fund

Table 17: Liquidity in days for investment strategy

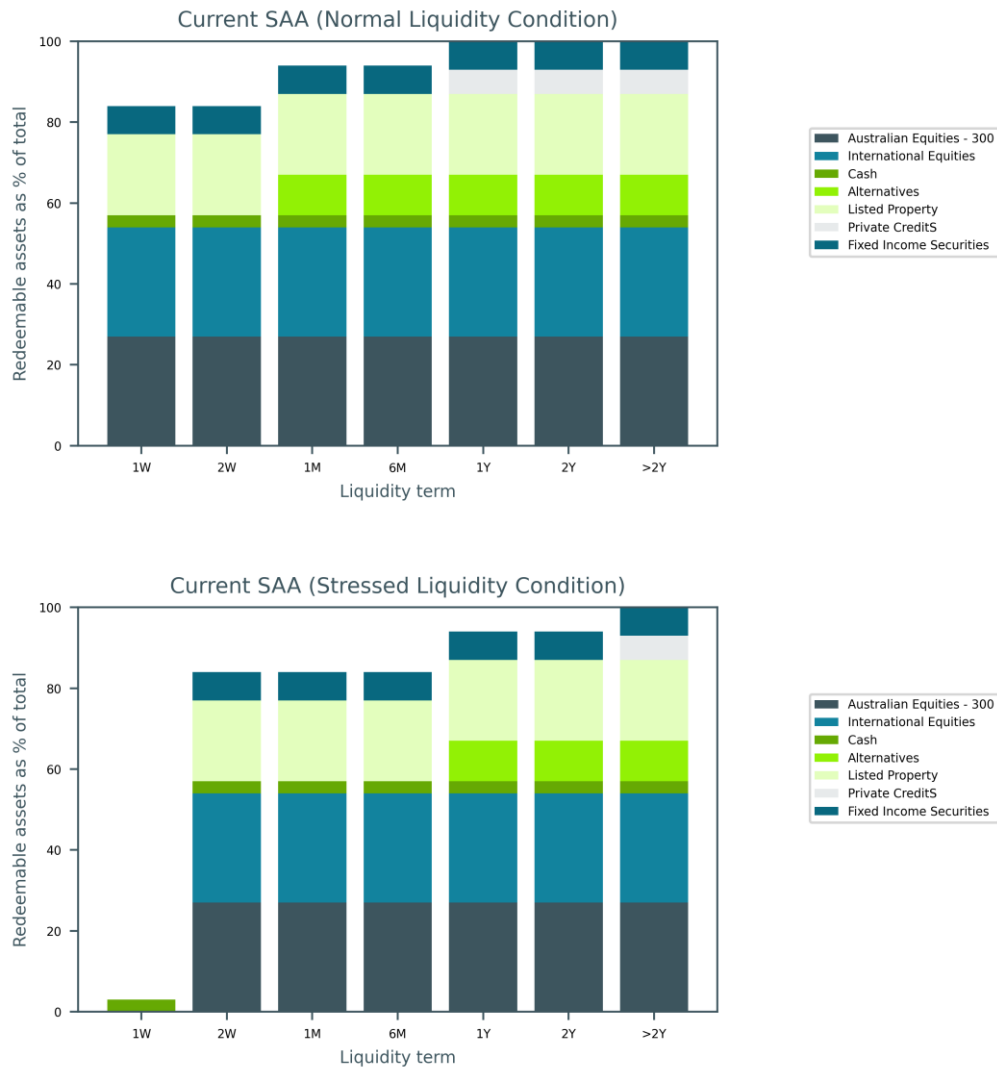
Portfolios	Normal Liquidity (Days)	Stressed Liquidity (Days)
Rajomon Growth Fund Current SAA	17.5	107.0
Rajomon Growth Fund Current AAA	32.4	181.1
Rajomon Growth Fund P1	5.8	37.2
Rajomon Growth Fund P2	32.7	183.8

- Under normal market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 17.5 days or less liquidity.
- Under stressed market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 107.0 days or less liquidity.

Figure 5 below shows percentage of assets by asset class, that are liquid illustrated over various time horizons.

- The expected time to liquidate 100% assets for the current SAA is within 1 year under normal market condition but over 2 years under stressed market condition.

Figure 5: Liquidity Profiles of Rajomon Growth Fund



Rajomon Growth Fund with DP

Table 18: Liquidity in days for investment strategy

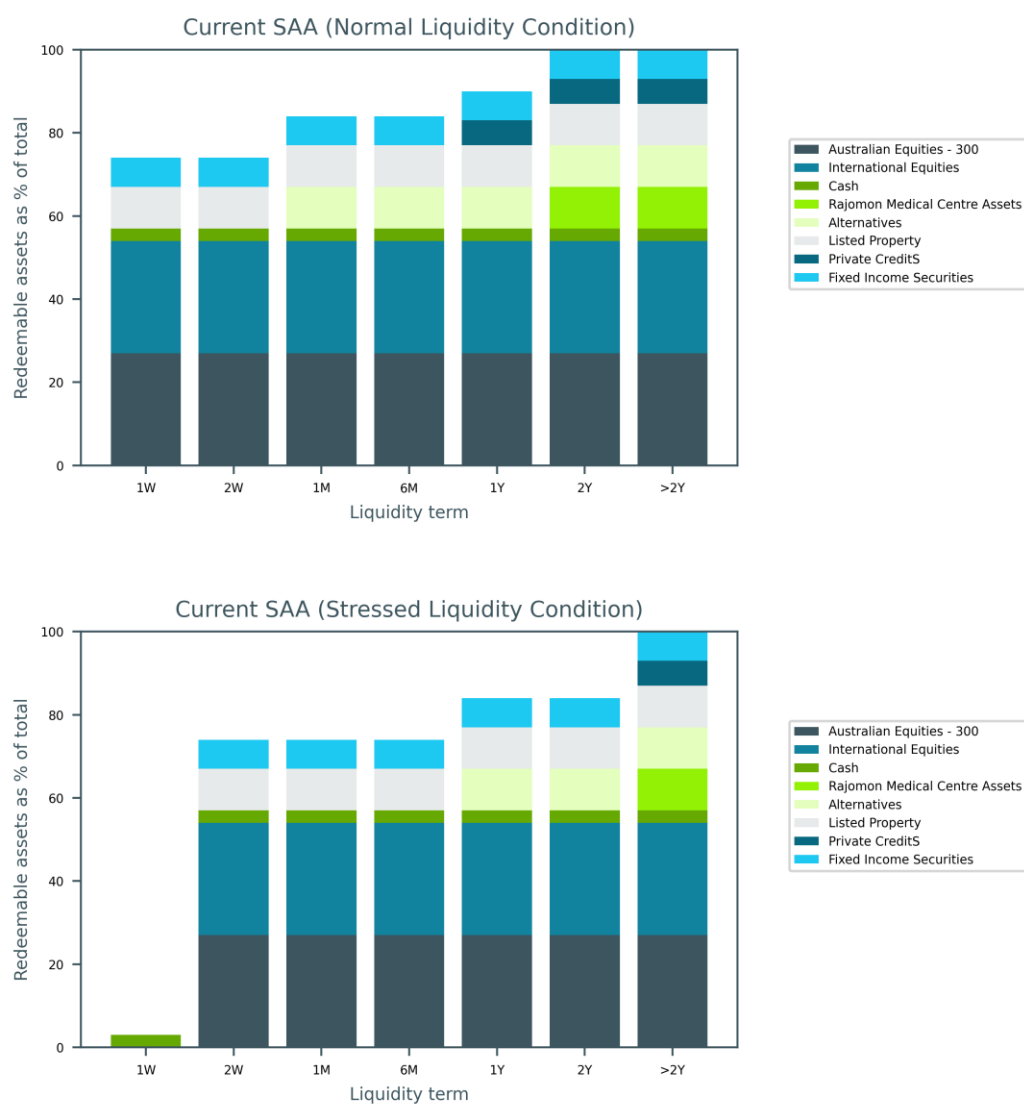
Portfolios	Normal Liquidity (Days)	Stressed Liquidity (Days)
Rajomon Growth Fund with DP Current SAA	90.0	288.2

- Under normal market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 90.0 days or less liquidity.
- Under stressed market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 288.2 days or less liquidity.

Figure 6 below shows percentage of assets by asset class, that are liquid illustrated over various time horizons.

- The expected time to liquidate 100% assets for the current SAA is within 2 years under normal market condition but over 2 years under stressed market condition.

Figure 6: Liquidity Profiles of Rajomon Growth Fund with DP



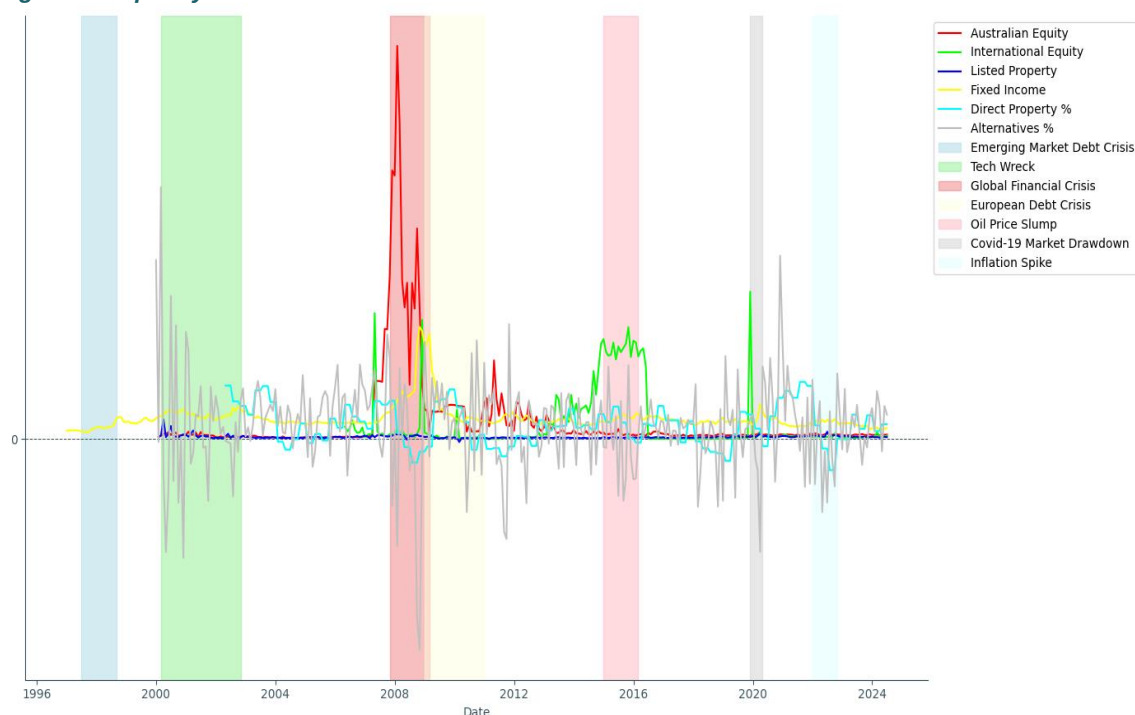
The liquidity analysis was performed across the asset allocations under various liquidity conditions:

- Extreme market conditions would deteriorate the liquidity expectation leading to longer period for Rajomon to liquidate 100% of the assets.

7.2 Historical Stressed Liquidity Condition

The figure below illustrates the trend of historical bid-ask spread for asset classes under extreme market conditions. When investigating historical liquidity, the liquidity of Australian Equities, International Equities, Listed Property, and Fixed Income is assessed using the average spread as a proxy, while Alternatives employs weighted return as proxy. The proxy for Direct Property is the price return as a seller's market leads to higher property price, implying a shorter period to redeem an asset.

Figure 7: Liquidity under stressed market conditions



Conclusion

- Bid-ask spreads of assets tend to widen during drawdown periods, indicating reduced market depth and higher transaction costs.
- During periods of financial crisis, the unlisted property market typically shifts towards a buyer's market, leading to deteriorated liquidity across the overall portfolio.

The table below demonstrates relative estimated liquidity expectation in days compared to the value under normal market conditions. Refer to Table 16 for average asset class liquidity expectations.

Table 7: Liquidity in days under historical drawdown period

Options	Emerging Market Debt Crisis	Tech Wreck	Global Financial Crisis	European Debt Crisis	Oil Price Slump	Covid-19 Market Drawdown	Inflation Spike
Australian Equity	2.0	2.0	71.8	5.5	2.0	2.0	2.0
International Equity	2.0	2.0	2.0	2.0	58.2	11.0	2.0
Listed Property	5.0	32.3	23.6	5.0	5.0	22.4	33.1
Fixed Income	10.0	13.1	41.4	20.9	10.2	10.8	10.0

Direct Property %	365.0	365.0	1079.9	365.0	365.0	446.2	1155.3
Alternatives %	30.0	30.4	42.1	30.0	36.9	38.2	37.5
Rajomon Growth Fund Current SAA	6.4	12.3	34.2	8.7	22.3	13.2	12.8
Rajomon Growth Fund Current TAA	42.4	45.6	139.9	44.7	58.3	55.6	125.0
Rajomon Growth Fund with DP Current SAA	414.0	444.8	1260.8	428.3	477.3	530.6	1239.9

Conclusion

- The liquidity of the portfolio deteriorates during financial crisis periods.

7.3 Liquidity Risk Management

The Rajomon Administrator reports contribution flows and member exits/outflows to the Trustee and investment manager to assist in the early identification of unusual patterns.

In managing liquidity risk the following matters may be included:

- Cash flow projections and past cash flow will be prepared on a regular basis to check the liquidity level needed
- Whether there are appropriate early warning indicators of liquidity risk for the single investment of Rajomon, and
- Reporting to the Research and Investment Team, Trustee Investment Committee and Board.

7.3.1 Conclusion

Consideration has been given to the liquidity of the underlying investments in stressed market conditions for Rajomon.

- Under normal market conditions, 6% of the allocation within the Rajomon Growth Fund is considered illiquid, increasing to 16% under stressed market conditions.
- In the case of the Rajomon Growth Fund with Direct Property, 16% of the allocation is classified as illiquid under normal market conditions, rising to 26% under stressed market conditions.

7.3.2 Recommendation

It is recommended that cash flow requirements are closely monitored to ensure sufficient cash is available to meet liabilities as they arise.

8 Appendix D – Manager Structure

The table below demonstrates Rajomon's current holdings and corresponding asset classes.

Table 26: Manager Structure and Classification

APIR	Name	Current	Recommended
SFY-AU	SPDR S&P ASX 50	AE	Aust Eqs
ISO-AU	BlackRock iShares S&P/ASX Small Ordinaries ETF	AE	Aust Eqs
MVE-AU	VanEck S&P/ASX MidCap ETF	AE	Aust Eqs
SMLL-AU	BetaShares Australian Small Companies Select	AE	Aust Eqs
VGS-AU	Vanguard MSCI International Shares Index ETF	GE	Global Eqs
ETHI-AU	BetaShares Global Sustainability Leaders ETF	GE	Global Eqs
IWLD-AU	iShares Core MSCI World ex Australia ESG Leaders ETF	GE	Global Eqs
QSML-AU	VanEck MSCI International Small Companies Quality ETF	GE	Global Eqs
IXJ-AU	BlackRock iShares Global Healthcare ETF	GE	Global Eqs
DRUG-AU	BetaShares Global Healthcare ETF	AI	Global Eqs
VAP-AU	Vanguard Australian Property Securities Index ETF	PR	Listed Property
REIT-AU	VanEck FTSE International Property (Hedged) ETF	PR	Listed Property
CURE-AU	ETFS S&P Biotech ETF	AI	Alternatives
MOAT-AU	VanEck Morningstar Wide Moat ETF	AI	Alternatives
RBTZ-AU	BetaShares Global Robotics and Artificial Intelligence ETF	AI	Alternatives
GOLD-AU	ETFS Physical Gold	AI	Alternatives
IAF-AU	BlackRock iShares Core Composite Bond ETF	IS	Fixed Income
IGB-AU	BlackRock iShares Treasury ETF	IS	Fixed Income
VIF-AU	Vanguard International Fixed Interest Index Hedged ETF	IS	Fixed Income
CRED-AU	BetaShares Investment Grade Corporate Bond ETF	CR	Credit
USHY-AU	ETFS USD High Yield Bond (Currency Hedged) ETF	CR	Credit
LEND-AU	VanEck Global Listed Private Credit (AUD Hedged) ETF	CR	Credit
AAA-AU	BetaShares Australian High Interest Cash ETF		Cash
MMKT-AU	Betashares Australian Cash Plus Fund (managed fund)	CA	Cash
AUD		CA	Cash

A review has been undertaken to assess the return characteristics of the five existing assets currently classified under the "Alternative" category. As part of this analysis, the correlation of 5-year monthly returns was evaluated between each fund and global equity indices to determine the appropriateness of their current classification.

Table 27: 5-year Correlations

Fund	MSCI World ex AU	AMI Alternatives
BetaShares Global Healthcare ETF	58.1%	41.4%
ETFS S&P Biotech ETF	42.8%	34.2%
BlackRock iShares Global Healthcare ETF	64.0%	24.4%
VanEck Morningstar Wide Moat ETF	89.5%	52.9%
BetaShares Global Robotics and Artificial Intelligence ETF	74.1%	49.3%

It the recommended that

- Maintain BlackRock iShares Global Healthcare ETF in Global Equities sleeve and Reclassify BetaShares Global Healthcare ETF as Global Equities sleeve.
 - Healthcare fundamentally represents exposure to listed global companies with earnings, valuation, and beta characteristics consistent with traditional equity markets. Their return drivers, though sometimes defensive, remain predominantly influenced by broader equity risk factors. Embedding healthcare allocations within the equity bucket is more accurately reflect their economic and investment profile while better demonstrating the strategic importance of Health & Wealth as a foundational pillar of equity exposure.
- Maintain ETFS S&P Biotech ETF in Alternatives sleeve
- Maintain VanEck Morningstar Wide Moat ETF and BetaShares Global Robotics and Artificial Intelligence ETF in Alternatives sleeve despite their relatively high correlation to equity markets
 - VanEck Morningstar Wide Moat ETF Serves as a quality-focused equity strategy, which behaves differently than standard cap-weighted benchmarks, especially in periods of economic uncertainty or rising rates.
 - BetaShares Global Robotics and Artificial Intelligence ETF gits within a "thematic alternatives" allocation, capturing idiosyncratic growth not well represented in broad indices. Returns are driven more by innovation diffusion and tech adoption curves than by macro cycles, offering non-linear payoff profiles.

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